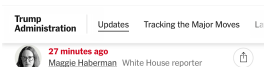


INCENTIVES IN BUREAUCRACY



WHAT MAKES BUREAUCRACY DIFFERENT?



Musk, who was not elected and whose initiative was initially supposed to be outside government, has described the “unelected” bureaucracy as subverting the will of the people. Musk suggests the only way to save democracy is to smash apart the federal bureaucracy. He refers to some of the work force as having low productivity.



What makes work in government different than in private sector?

How should we incentivize and select bureaucrats?

OUTLINE

SPECIFICS OF GOVERNMENTAL WORK AND INCENTIVES

SELECTION OF BUREAUCRATS AND REFORM PROPOSALS

KEY TAKE AWAYS

DISCUSSION

What are the specifics of governmental work that are different from a typical private firm?

1. Is performance easy to measure? Is there a risk of multitasking?
2. Is the mission pro social?
3. Is agreement on goals between agent and principal likely?
4. Are the principal's goals stable?
5. Does the principal want something more from the agent than effort?

WHAT MAKES BUREAUCRACY DIFFERENT?

Private sector:

1. One goal - maximizing profit - and profit is easy to measure
2. Profit driven mission
3. Principal and Agent disagree mainly about effort
4. Goal stays unchanged with leader turnover
5. Agent can offer Principal mainly her effort

Government :

1. Multiple goals and effort on each is difficult to measure
2. Society focused mission
3. Principal and Agent may disagree about policy goal
4. High turnover of Principals with different goals
5. Agent can offer Principal also political support

DISCUSSION

1. Multiple goals and effort on each is difficult to measure
2. Society focused mission
3. Principal and Agent may disagree about policy goal
4. High turnover of Principals with different goals
5. Agent can offer Principal also political support

For each specific feature of government work identified here, comment on the pros and cons of offering **high powered incentives**

INCENTIVES FOR BUREAUCRACY

1. Multiple goals and effort on each is difficult to measure
2. Society focused mission
3. Principal and agent may disagree about policy goal
4. High turnover of principals with different goals
5. Agent can offer principal political support

INCENTIVES FOR BUREAUCRACY

1. Multiple goals and effort on each is difficult to measure
 - ▶ To provide incentives, one needs to measure performance
 - ▶ Overall performance hard to measure: there are no prices and no equivalent of profit
 - ▶ Using performance measures on specific tasks creates multitasking problem example
 - ▶ Better to rely on subjective evaluations and promotions
2. Society focused mission
3. Principal and agent may disagree about policy goal
4. High turnover of principals with different goals
5. Agent can offer principal political support

INCENTIVES FOR BUREAUCRACY

1. Multiple goals and effort on each is difficult to measure
2. Society focused mission
 - ▶ One can leverage intrinsic motivation
 - ▶ Offer incentives sufficiently high to induce effort of intrinsically motivated bureaucrats (but too low for those with low intrinsic motivation) and reduce baseline wage to discourage others
 - ▶ Be careful not to crowd out intrinsic motivation
3. Principal and agent may disagree about policy goal
4. High turnover of principals with different goals
5. Agent can offer principal political support

INCENTIVES FOR BUREAUCRACY

1. Multiple goals and effort on each is difficult to measure
2. Society focused mission
3. Principal and agent may disagree about policy goal
 - ▶ High powered incentives can align the *current* principal's and agent's goals—but is this what society wants?
4. High turnover of principals with different goals
5. Agent can offer principal political support

INCENTIVES FOR BUREAUCRACY

1. Multiple goals and effort on each is difficult to measure
2. Society focused mission
3. Principal and agent may disagree about policy goal
4. High turnover of principals with different goals
 - ▶ Principal's turnover may increase probability of being fired because goals change $\implies$ performance pay is particularly risky
 - ▶ This is particularly true if subjective evaluations are used
 - ▶ This increased risk raises salary demands which may not be feasible to satisfy
 - ▶ Making it harder to fire or punish bureaucrats decreases this risk and decreases salary demands
5. Agent can offer principal political support

INCENTIVES FOR BUREAUCRACY

1. Multiple goals and effort on each is difficult to measure
2. Society focused mission
3. Principal and agent may disagree about policy goal
4. High turnover of principals with different goals
5. Agent can offer principal political support
 - ▶ Worry about **patronage** associated with subjective evaluation and promotion: offering governmental jobs and promotions in exchange for political support

BUREAUCRACIES SHY AWAY FROM HIGH-POWERED INCENTIVES

Many bureaucracies do not use high-powered incentives:

- ▶ Bonuses and promotions are not excessively high or valuable
- ▶ It is hard to fire a bureaucrat

The specifics of governmental job point to reasons for why:

- ▶ High intrinsic motivation may go a long way
- ▶ High concerns about effort diversion due to multitasking
- ▶ Expensive to attract risk averse agents
- ▶ Turnover of principals makes bonuses and promotions based on subjective evaluations riskier
- ▶ Threat of using bonuses, hiring and firing for patronage

So how can bureaucracies incentivize work in addition to relying on intrinsic motivation?

WHY BUREAUCRATS WORK?

Use **subjective evaluations with promotions**:

- ▶ Subjective holistic evaluations solve multitasking problem
- ▶ Promotions with moderate raises and low baseline pay may select intrinsically motivated workers
- ▶ To remove the risk from Principal turnover:
 - ▶ Promotions are heavily linked to seniority and tenure
 - ▶ Promotions are decided by non-political members of bureaucracy

Additional benefits of promotions in government:

- ▶ Since pay increases with tenure, promotion schedule attracts workers who want to stay for a long time
- ▶ Employees' performance typically increases with experience, so having long-term workers brings upon performance via experience

Career concerns replace incentives:

- ▶ Prospect of future employment provides incentives
 - ▶ But it may cause effort diversion towards externally visible tasks
- ▶ Acceptance of “revolving doors” (but has trade-offs)

OUTLINE

SPECIFICS OF GOVERNMENTAL WORK AND INCENTIVES

SELECTION OF BUREAUCRATS AND REFORM PROPOSALS

KEY TAKE AWAYS

SELECTION OF BUREAUCRATS

When incentives are low powered, selection is more important

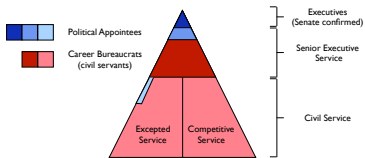
How should bureaucrats be selected?

- ▶ **Leader's discretion**
 - ▶ Bureaucrats serve at President's will
- ▶ **Merit based (meritocratic):**
 - ▶ Based on some rule such as passing an exam or having certain education or experience
 - ▶ Usually combined with strong job protections

How does selection method affect whether bureaucrats

- ▶ **Work hard**
- ▶ Are **competent**
- ▶ Are ideologically **aligned** with the leader
- ▶ Act as useful experts

A TYPICAL AGENCY IN THE U.S.



Source: Lewis, David. 2008. *The Politics of Presidential Appointments*. Princeton University Press.

Political appointees:

- ▶ Serve at the pleasure of the president (cabinet and deputy/assistant secretaries, agency heads, advisors)

Most of Civil and Senior Executive Service:

- ▶ Merit based
- ▶ Protected from arbitrarily removal

Schedule C positions:

- ▶ Confidential or policy-support roles
- ▶ Serve at the pleasure of the administration

POLITICAL APPOINTEES V CAREER BUREAUCRATS

RESTORING
ACCOUNTABILITY TO
POLICY-INFLUENCING
POSITIONS WITHIN THE
FEDERAL WORKFORCE

EXECUTIVE ORDER
January 26, 2020

President, elected and directly accountable to the American people. In recent years, however, there have been numerous and well-documented cases of career Federal employees resisting and undermining the policies and directives of their executive leadership. Principles of good administration, therefore, necessitate action to

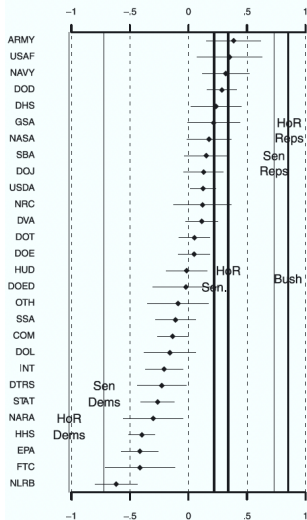
The current administration claims that increasing the number of political appointees—selected using president's discretion—and reducing the number of civil servants—merit based selected—will increase **performance** and **preference alignment** with the policy goals of the president

PREFERENCE DIVERGENCE IN PRACTICE

Different political agencies have different ideologies

Source: Clinton et al (2012)

FIGURE 3 Unweighted Estimates of Mean Ideology in an Agency (and 95% Credible Intervals)



DISCUSSION: INCREASING THE NUMBER OF POLITICAL APPOINTEES

Discuss pros and cons of a reform to increase the number of political appointees in bureaucracy

1. Focus first on **incentives to work hard**. What effect is the reform likely to have on the overall performance of bureaucracy?
2. Focus on the desire to select **competent** bureaucrats. What is the likely effect of the reform?
3. Focus on the desire to select **aligned** bureaucrats. What is the likely effect of the reform?
4. Focus on the need for **expertise** bureaucrats. What is the likely effect of the reform?

SELECTION AND INCENTIVES

Meritocratic selection:

- ▶ Protection from being fired decreases effort
- ▶ Protection from being fired reduces the incentives to pander

Discretionary selection by the leader:

- ▶ Threat of being fired increases effort
- ▶ The threat of being fired may incentivize pandering
- ▶ Since their tenure is likely to be short, they are motivated by career-concerns as well

SHORT TENURE → SHORT-TERM GOALS

Political appointees have short tenure so likely to focus on short-term goals

- ▶ May pursue solutions with quick benefits and delayed costs
- ▶ May distort effort towards visible one to secure the next job

MOTIVATED POLITICAL APPOINTEES MAY NOT BE GOOD FOR SOCIETY!

Recall that leaders have reelection incentives

- ▶ They can run on their record of good governance (need good bureaucracy)
- ▶ Or they can try to win elections via other means
- ▶ They can also pander to voters' beliefs

Competent bureaucracy will facilitate the first, political appointees will facilitate all of the above

What is good for president $\neq$ what is good for the society

MORE POLITICAL APPOINTEES DECREASES INCENTIVES OF OTHER BUREAUCRATS

Having more political appointees has **negative spillover** effects on the rest of bureaucracy

- ▶ If top positions are occupied by political appointees, there are fewer promotion prospects for civil servants, which lowers their incentives
- ▶ Turnover at the top of the agency may negatively affect productivity of the agency (Durant 1992) by increasing uncertainty in how others are evaluated and promoted more

POLITICAL APPOINTEES AND INCENTIVES: TAKING STOCK

Political appointees are highly motivated to achieve Principal's goals and/or advance their career concerns

But more political appointees decreases incentives of other bureaucrats

SELECTION AND COMPETENCE

Meritocratic selection:

- ▶ Increases chances that competent bureaucrats are selected
- ▶ Prevents favoritism and political patronage

Discretionary selection by the leader:

- ▶ May lower competence, though not if personal connections give leader more information about candidates
- ▶ Increases risk of favoritism and political patronage

SELECTION FOR COMPETENCE: EMPIRICAL EVIDENCE

Meritocratic selection leads to better performance (Colonnelli, Prem, Teso 2020)

There is evidence from private sector that managers who hire against test recommendations end up with worse hires (Hoffman, Khan and Li 2018)

But results seem to depend on the setting:

- ▶ In some developing countries, those who pay a bribe to receive a job perform better in certain areas (Weaver 2021)
- ▶ Leveraging personal connections may help select better agents (Voth and Xu 2020, Burks et al. 2015)

SELECTION AND ALIGNMENT

Meritocratic selection:

- ▶ Decreases goal alignment with the President

Discretionary selection by the leader:

- ▶ Increases goal alignment with the President

Is alignment good?

- ▶ If it is good, then it is good for the leader but not necessarily for society
- ▶ It may be bad for the leader if there is a commitment problem
- ▶ Alignment of experts is good for the leader

SELECTION AND EXPERTISE

Many bureaucrats are **experts on a topic**: monetary policy, health, education, defense, etc

Bureaucrats also have **procedural expertise**: on how things are done, what the procedures are, how to implement decisions, how to reduce legal risks, etc

Meritocratic selection:

- ▶ Increases (especially procedural) expertise
- ▶ Decreases alignment—bad for communications

Discretionary selection by the leader:

- ▶ May decrease expertise
- ▶ Increases alignment—good for communication

SELECTION AND EXPERTISE

The existing alignment bias of agencies may be due to **selection on expertise**

- ▶ Recall that experts on a topic tend to have similar biases

Replacing existing experts with political appointees:

- ▶ Improves communication with the leader
- ▶ May require sampling from a worse **pool of talent**

A leader will be systematically better informed about topics on which she is aligned with a typical expert on this topic

TAKING STOCK

Increasing the number of political appointees:

- ▶ Increases alignment with the leader's goals
 - ▶ Especially important for experts: alignment increases truthful communication
- ▶ Increases incentives for those appointees to work hard

At the same time

- ▶ Political appointees work on leader's goals not necessarily on society's goals
- ▶ Decrease incentives for others by decreasing promotion chances and introducing noise in subjective evaluations
- ▶ For experts this increases pandering

THE U.S. V THE REST OF THE WORLD

The U.S. has around 4000 political appointees

Advanced democracies tend to have a few dozen to few hundred

Overall, the fraction of political appointees is higher in the U.S.

OUTLINE

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KEY TAKE AWAYS

KEY POINTS

Governmental work differs from private sector work and hence:

- ▶ Calls for different incentives
- ▶ Calls for different selection mechanisms
- ▶ Results in different performance

All reforms have trade-offs

MEASURING RULE FOLLOWING

It is easy to measure is whether bureaucrat follows the rules

There is a tendency to write rules for everything and then use rule following to monitor bureaucrats

May result in: “If they ask us to build a concrete boat, we’ll build a concrete boat,” (from Recoding America by Pahlka) [back](#)